Cloud Economics & ROI

Cloud success is not measured by spend.

It is measured by value created.

CAPEX | OPEX | TCO | ROI

Session purpose

Understand

how cloud changes spending

Evaluate

TCO, ROI and risk

Govern

cost, ownership and value

The question leaders ask

How much will it cost — and what value will it create?

Leadership lens

not billing detail
business value
financial discipline

Cloud billing humour

Cloud can feel like a hotel minibar.
Convenient — until checkout.

Message
flexibility needs accountability

Session journey

1. Why economics matters
2. CAPEX vs OPEX
3. Cost structures
4. ROI + TCO
5. Mini case

Why cloud economics matters

- Cash flow
- Margins
- Budget planning
- Innovation funding
- BU profitability

The financial shift

Traditional IT

buy before use

fixed capacity

long cycles

Cloud

use, measure

optimize

govern continuously

Traditional IT financial model

Upfront assets

servers

storage

networking

Planning burden

forecast demand

long approvals

Fixed cost

refresh cycles

maintenance

Cloud financial model

- Usage-based
- Flexible
- Continuously governed

CAPEX | Capital expenditure

Buy assets

infrastructure
licenses

Plan long-term

forecast capacity
depreciation

Less flexible

large approval
longer payback

OPEX | Operating expenditure

Pay as used

monthly usage
subscriptions

Scale faster

up or down
by demand

Track value

usage
business outcome

CAPEX vs OPEX humour

CAPEX buys the bus.
OPEX books transport when needed.

But
luxury cars need approval

CAPEX vs OPEX

CAPEX

buy upfront

forecast capacity

fixed infrastructure cost

OPEX

pay as used

adjust dynamically

usage and value focus

Cloud cost structure

1. Compute
2. Storage
3. Data transfer
4. Managed services
5. People + governance

Cost driver 1 | Compute

What runs

VMs

applications

analytics jobs

Leakage

24x7 use

low utilization

Leader ask

are we using what we pay for?

Cost driver 2 | Storage

What sits

files

backups

logs

reports

Leakage

premium tiers

old data

Leader ask

does all data need same cost level?

Cost driver 3 | Data transfer

- Between regions
- Across systems
- To external apps

Cost drivers 4–5 | Services and governance

Managed services

databases
analytics
AI tools
security

Operating capability

architecture
monitoring
FinOps
vendor management

Reality check

Cloud can reduce cost.
Cloud can also increase cost.

Difference
governance

Cost overrun humour

**Cloud is like electricity.
If everything runs 24x7,
the bill will speak.**

TCO | Total cost of ownership

Direct cost

cloud bill

subscriptions

Indirect cost

migration

integration

training

Business cost

risk

delay

opportunity

Do not compare only server cost

Traditional view

server already owned

appears cheaper

Business view

downtime

delay

maintenance

poor scale

ROI | Return on investment

ROI is not only cost saving.
It is value created faster.

Cloud ROI sources

1. Cost savings
2. Speed
3. Productivity
4. Revenue enablement
5. Risk reduction

ROI humour

Sometimes ROI is avoiding 10 meetings, 20 approvals, and 3 months of delay.

Cost visibility changes behaviour

Tagging
BU
project
owner

Dashboards
usage
spend
exceptions

Alerts
thresholds
spikes
untagged

Tagging humour

Cloud cost without tagging is like a restaurant bill where everyone says, ‘I only had salad.’

Leadership point

trace cost to owner

Showback vs chargeback

Showback

teams see cloud cost awareness first

Chargeback

teams own consumption accountability increases

Cloud cost optimization levers

1. Right-size
2. Schedule
3. Storage lifecycle
4. Commit usage
5. Remove idle
6. Budget alerts

Scheduling humour

If people go home at 6 PM but dev servers work all night, someone is doing overtime.

FinOps | Cloud financial governance

Business
value
ownership

Finance
planning
forecasting

IT
usage
architecture

FinOps lifecycle

1 **Inform**

2 **Optimize**

3 **Operate**

Mini case | Rising cloud spend

Six months after migration, monthly cloud spend is rising faster than expected.

Signals

test env 24x7
storage growth
no tagging
unclear ROI

Group task

1. Find cost leakage
2. Recommend actions
3. Define governance
4. Assign ownership
5. Define ROI metric

Session close

Cloud economics is not about saying no to spending.
It is about saying yes to value.

Financial capability built

cost awareness
ROI lens
governance mindset

Thank You

Let’s continue the cloud, AI and digital transformation journey.

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Empowering leaders to make smarter cloud, AI and digital transformation decisions.